

**UNITED STATES PATENT AND TRADEMARK OFFICE
BEFORE THE ADMINISTRATIVE LAW JUDGE**

In the Matter of:

Johannes P. Schneeberger,

Respondent.

Proceeding No. D2020-16

June 25, 2025

Appearances:

Robin J. Crabb¹

John D.V. Ferman

Associate Solicitors, United States Patent and Trademark Office

Johannes P. Schneeberger.

Pro Se

BEFORE: J. Jeremiah **MAHONEY**, United States Administrative Law Judge²

INITIAL DECISION AND ORDER

The above-captioned matter arises from a disciplinary complaint (“Complaint”) filed by the Director of the Office of Enrollment and Discipline (“OED Director”) for the United States Patent and Trademark Office (“USPTO” or “Office”) against Johannes P. Schneeberger, (“Respondent”) pursuant to 35 U.S.C. § 32 as implemented by 37 C.F.R. part 11.

PROCEDURAL POSTURE

On February 25, 2020, the *Complaint* in this matter was received and assigned to the undersigned for hearing. The *Complaint* alleged one count of misconduct in violation of the USPTO Rules of Professional Conduct, 37 C.F.R. §§ 11.101, *et seq.* Specifically, Respondent is alleged to have impermissibly entered into business agreements resulting in several violations of the USPTO disciplinary rules relating to the representation of clients and conflicts of interest.

¹ Mr. Crabb requested to withdraw from this proceeding after the hearing was completed, and post-hearing briefs were filed. That request is **GRANTED**.

² Pursuant to an Interagency Agreement in effect beginning March 27, 2013, Administrative Law Judges of the U.S. Department of Housing and Urban Development (HUD) have been appointed by the U.S. Commerce Secretary and are authorized to hear cases brought by the U.S. Patent and Trademark Office.

On October 21, 2022, the Tribunal granted partial summary judgment in this matter finding the undisputed facts supported the OED Director's claims that Respondent violated the USPTO disciplinary rules at 37 C.F.R. § 11.107 and 37 C.F.R. § 11.108(a). Specifically, the Tribunal concluded that Respondent represented clients despite the existence of actual and potential conflicts of interest, and he entered into business transactions with clients that also created a concurrent conflict of interest. Such conduct was impermissible, because Respondent did not obtain the informed consent of his clients, confirmed in writing. The Tribunal further concluded that summary judgment was not appropriate for the other allegations, because certain material facts remained in dispute.

The hearing in this matter was conducted from January 24-26, 2023. During the hearing, the Tribunal received the testimony of John Davis and Respondent. Following the receipt of the hearing transcripts, the Tribunal ordered the parties to file post-hearing briefs and post-hearing response briefs, which were received on May 8, 2023, and May 23, 2023, respectively. The record is now closed, and this matter is ripe for decision.³

APPLICABLE LAW

USPTO Disciplinary Proceedings. USPTO has the “exclusive authority to establish qualifications for admitting persons to practice before it, and to suspend or exclude them from practicing before it.” Kroll v. Finnerty, 242 F.3d 1359, 1364 (Fed. Cir. 2001); see also Sperry v. Fla. ex rel. Fla. Bar, 373 U.S. 379 (1963). This authority flows from 35 U.S.C. § 2(b)(2)(D), which authorizes USPTO to establish regulations governing the conduct of patent attorneys and agents who practice before it, and 35 U.S.C. § 32, which authorizes the USPTO to discipline malfeasant practitioners. The regulations governing the conduct of USPTO practitioners are known as the Rules of Professional Conduct and are codified at 37 C.F.R. §§ 11.101 to 11.901. Before disciplining a practitioner who is accused of violating the Rules of Professional Conduct, USPTO must provide notice and an opportunity for a hearing. 35 U.S.C. § 32. Disciplinary hearings are conducted in accord with the procedural rules at 37 C.F.R. part 11 and with section 7 of the Administrative Procedure Act, 5 U.S.C. § 556, by an impartial hearing officer appointed by USPTO. See 37 C.F.R. §§ 11.39, 11.44.

Standard and Burden of Proof. The OED Director has the burden of proving any alleged violations by clear and convincing evidence, and the respondent bears the burden of proving any affirmative defenses by clear and convincing evidence. 37 C.F.R. § 11.49. “Clear and convincing” evidence is an intermediate standard of proof, falling somewhere between the “beyond a reasonable doubt” standard governing criminal cases and the “preponderance of the evidence” standard governing most civil cases, and requires evidence of such weight that it “produces in the mind of the trier of fact a firm belief or conviction, without hesitancy, as to the truth of the allegations sought to be established” or “proves the facts at issue to be ‘highly probable.’” Jimenez v. DaimlerChrysler Corp., 269 F.3d 439, 450 (4th Cir. 2001); see also

³ The delay between briefing and the issuance of this ruling was caused by limited government resources, the time taken to consider the parties' respective evidence and positions, and the impact of the COVID-19 pandemic, which necessitated closure and reopening of the Tribunal's physical office during the pendency of this case and disrupted some of the Tribunal's operations and workflow.

Colorado v. New Mexico, 467 U.S. 310, 316 (1984) (requiring evidence sufficient to produce “an abiding conviction” that the factual allegations are “highly probable”).

FINDINGS OF FACT

I. Background

Respondent was first registered as a patent agent by the USPTO on September 7, 2001. Respondent’s registration number is 48,910. When Respondent became a patent agent, he signed an oath swearing to uphold the laws and rules of the USPTO and to keep his clients’ secrets inviolate. At all times relevant, Respondent has been a registered patent agent.

In 2008, Respondent founded IDEPA, Inc., a California corporation (“IDEPA”). Respondent is IDEPA’s Chief Executive Officer, Chief Financial Officer, and Director. Respondent is the only person who worked for IDEPA.

II. John Davis Client Relationship

Respondent provided patent legal services to John Davis beginning in 2004, when Respondent was employed by Lumen Intellectual Property Services. This practitioner-client relationship with Mr. Davis lasted from 2004 until at least December 17, 2018.

On February 12, 2015, and February 18, 2015, Mr. Davis provided Respondent written outlines of the terms of an agreement to be entered into by Mr. Davis and Respondent. Respondent used Mr. Davis’ outlines to reduce to writing an agreement, dated February 23, 2015 (“the February 23, 2015 Agreement”). In that agreement, Respondent intentionally added language limiting his future liability even though that language did not appear in Mr. Davis’s prior outlines. The language Respondent added stated,

All services and consultation including said Engineering Services and said Patent Services are provided by [Respondent] without warranty. [Respondent] will not ever be held accountable nor sued for damages by Davis, VSI nor any partners or followers of either of them for any action or lack thereof by [Respondent].

Mr. Davis did not have legal representation when he discussed the terms of the February 23, 2015 Agreement with Respondent. Respondent did not know whether Mr. Davis was represented in February 2015 and he never asked. Rather, Respondent assumed Mr. Davis had ongoing legal counsel when they negotiated the February 13, 2015 Agreement.

On February 23, 2015, Respondent and Mr. Davis executed the February 23, 2015 Agreement. The purpose of that Agreement was to jointly commercialize the intellectual property inventions as initially defined in the current US Patent Applications No.: [REDACTED] and [REDACTED] having the Attorney Docket No.: [REDACTED], [REDACTED] and future Patent Applications the relation of which shall be defined by the Attorney Docket No. [REDACTED] for

which either or both Davis and Schneeberger are named inventors. Within the February 23, 2015 Agreement, Respondent and Mr. Davis agreed that Respondent would provide engineering and patent services to develop the identified intellectual property. The Agreement also noted that Respondent would receive 15% of the shares in Bolting Systems International LLC, the corporation that was to be formed to facilitate the commercialization of the intellectual property inventions.

Respondent did not obtain informed consent confirmed in writing to any conflict of interest arising from the February 23, 2015 Agreement. At the time the February 23, 2015 Agreement was executed, Respondent had limited knowledge of contract law, and was not aware of any requirement that he instruct his clients to seek legal counsel prior to engaging in a business transaction with him, and prior to entering into a contract that limited prospective liability on his part as a practitioner.

In line with the purpose of the February 23, 2015 Agreement, U.S. Patent Application No. 14/932,768 (“the ’768 application”) titled “Multifunction Reaction Washer and Stack accessed by Slim Reaction Socket” was filed in November of 2015. The ’768 application listed Mr. Davis and Respondent as coinventors and Respondent as the patent practitioner of record.

III. Formation of the Reaction Washer Company

Respondent and Mr. Davis found an investor willing to work with them to bring the technology of the ’768 application to market. That investor was Michael “Mike” Morely, who owned Spring Pointe LLC (“Spring Pointe”).

On May 12, 2016, Spring Pointe (by and through Packer Morley, Mike Morely’s son), ME3 (by and through John Davis, as an authorized agent), and IDEPA (by and through Respondent) came to an agreement, the terms of which were memorialized in a writing (hereinafter referred to as the “May 12, 2016 Agreement”). The May 12, 2016 Agreement contemplated the formation of Reaction Washer Company, LLC (“RWC”). The business of RWC would be “[t]o ... engineer, develop, promote and sale (*sic*) a ‘multifunction reaction washer’ as outlined in US Patent Application 14/932,768.”

During the drafting and negotiation of the May 12, 2016 Agreement, Mr. Davis, who was representing ME3, did not have independent legal counsel, and Respondent did not advise him that he should seek it. Respondent also did not advise Mr. Davis that a conflict could result from entering into a business transaction with a person who was representing him before the USPTO. Additionally, Respondent did not provide any written notice to anyone at RWC that his interests might conflict with theirs.

Following execution of the May 12, 2016 Agreement, RWC was formed by filing articles of incorporation in Utah. Mr. Davis and Packer Morley managed RWC. Spring Pointe contributed \$250,000. ME3 contributed expertise, business goodwill, use of IP, and time. IDEPA contributed “patent and patent application prosecution services within the professional

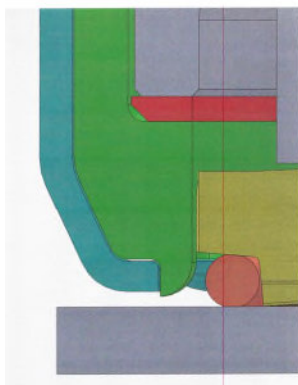
obligations of a US Patent Agent, use of IP, expertise, efforts and time.” IDEPA received a 15 percent share of the business.

Although Respondent now disputes the validity of the May 12, 2016 Agreement’s execution, from the time of RWC’s formation until Respondent left RWC, Respondent routinely referred to the May 12, 2016 Agreement as some variant of the phrase “our partnership agreement.” During that time, Respondent understood it was a valid agreement that governed the relationship and division of assets between the parties to the agreement.

Pursuant to the terms of the May 12, 2016 Agreement, Respondent provided patent prosecution services to RWC. On May 25, 2017, Respondent filed the U.S. Patent Application No. 15/605,861 (“the ’861 application”) titled “Concentric Actuation and Reaction Torque Transfer System.” The ’861 application referenced only one relevant document in its Information Disclosure Statement: the ’768 application. The ’861 application had the internal reference number of ICB 1041.

Also on May 25, 2017, Respondent filed U.S. Patent Application No 15/605,876 (“the ’876 application”), titled “Reaction Washer with Belleville Spring induced radially inward processing Bottom Bite Action and Tightening and Securing System.” The ’876 application referenced also only one relevant document in its Information Disclosure Statement: the ’768 application. The ’876 application had the internal reference number of ICB 1042.

On March 14, 2018, Respondent and Mr. Davis engaged in confidential communications concerning products developed for RWC in an email bearing the subject line “RWC 180220 TeflonSocketBushings.”⁴ The email attached a diagram showing a cross-section of a reaction washer that was sent to a third-party company to manufacture on behalf of RWC. The item depicted in the drawing was intended to be the subject of additional investment from RWC to bring the product to market.



A part of that drawing, the red-orange circle in the bottom right quadrant, depicts an “o-ring” that rests underneath the “castle” of the reaction washer. The o-ring was intended to serve as a

⁴ The “RWC” at the beginning of “RWC 180220” refers to “Reaction Washer Company.”

friction element to prevent rotation during installation, before the washer generated enough clamping force for the washer to grab the flange face.

On May 25, 2018, Respondent filed International Patent Application No. PCT/US18/34,746 (“the ’746 PCT application”). The ’746 PCT application had the internal reference number of ICB1043PCT and identified the ’861 and ’876 applications as claiming priority.

Respondent listed himself and Mr. Davis as joint inventors for the ’861, ’876, and ’746 PCT applications. However, Respondent never advised Mr. Davis that any joint inventor of a patent can independently license away all of the rights he holds. Respondent also did not obtain informed consent confirmed in writing from Mr. Davis for Respondent to continue as a joint inventor on the applications while also serving as the patent agent prosecuting them.

IDEPA invoiced RWC for the filing fees on the ’861 application, the ’876 application, and the ’746 PCT application. RWC paid each of the invoices for the application filing fees with the understanding that RWC was investing in intellectual property that it would own, and from which all of its members would benefit.

Respondent and IDEPA completed engineering, prototyping, testing, and fabrication work for RWC between 2016 and 2018. Between 2016 and 2018, RWC paid IDEPA over \$125,000. RWC considered the work that Respondent completed in the 2016-2018 timeframe to be confidential and took steps to ensure that the information remained confidential, such as issuing nondisclosure agreements to manufacturers, and marking drawings as “proprietary and confidential.” Respondent also asked outside personnel to keep information related to the inventions “strictly confidential as per our confidentiality agreement.”

On June 11, 2018, Respondent sent an email message to Mike Morley and Packer Morley, copying Mr. Davis. In that email, Respondent stated that he would be “willing to return my company shares and assign and/or license my related intellectual property rights for a fair and current market price of them.” Respondent testified that as of that date, he believed that he was a partner in RWC. In an email to the same parties a few days later, Respondent reiterated that he was a partner. However, he warned that if the other members of RWC decided against continuing with Respondent as a partner, Respondent would no longer represent the interests of RWC “due to a natural conflict of interests” and in that case RWC would need to seek alternative “Patent Counsel.” In that same email, Respondent acknowledged that he had “professional obligations as a US Patent Agent.”

On July 31 and August 1, 2018, respectively, Respondent and Mr. Davis assigned to RWC their interests in the ’768 application and, *inter alia*, in “any division, continuation, and continuation-in-part of” the ’768 application. Each of them also agreed “to assist and cooperate with [RWC, to] ... include prompt execution of all petitions, oaths, specifications, declarations, and other papers ... deemed necessary or desirable by [RWC] for filing or prosecuting in the

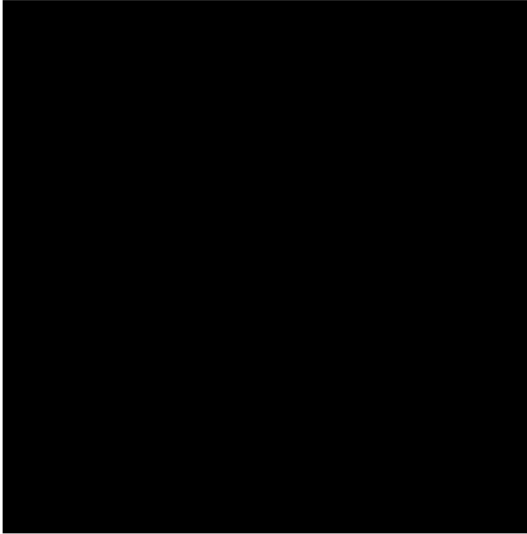
United States ... any application which is a division, continuation, or continuation in part of [the '768] application].”

However, in an email message dated October 1, 2018, Respondent notified Mr. Davis that he could no longer represent Mr. Davis as a patent agent, and stated that he would withdraw “in all [Mr. Davis’s] cases.” Respondent’s email listed certain matters in which Mr. Davis was named an inventor and Respondent was the patent agent of record, and indicated their status before the USPTO. However, Respondent did not list the ’861 application, the ’876 application, or ’746 PCT application, or state that he would withdraw from representation in those matters.

On October 23, 2018, the ’768 application issued as U.S. Patent No. 10,107,325. Over a week later, Respondent assigned his membership interest in RWC to Mike Morley in exchange for \$5,000, as memorialized in an agreement dated October 31, 2018. The assignment agreement included a clause barring any future claims between the parties based on the May 12, 2016 Agreement or that accrued as of the date of the assignment. Respondent requested the inclusion of that indemnification clause.

On [REDACTED] twelve days after he had sold his ownership interest in RWC, Respondent filed U.S. Provisional Patent Application No. [REDACTED] (“the [REDACTED] provisional application”), titled [REDACTED], [REDACTED]. Respondent requested that the [REDACTED] provisional application not be published.

Claim 9 of the [REDACTED] application teaches a [REDACTED] that is [REDACTED] is initially placed.” Claim 10 also claims inventive matter based on the [REDACTED]. The [REDACTED] is mentioned in the first sentence of the abstract. The drawing provided with the application identifies part 50, which is called a [REDACTED] in the specification.



The function of the [REDACTED] is that the [REDACTED] may result in “[REDACTED] contact of the [REDACTED] ... with the base surface”

On November 12, 2018, Respondent sent an email to Mike Morley which, among other things, threatened to bring patent infringement claims in the future against RWC based on Respondent’s assertion that “key elements of the [Reaction Washer] product are my sole invention and therefore also my sole intellectual property.”

A month later, on December 12, 2018, Respondent emailed Mike Morley, stating that he wanted to “monetize as soon as possible all Intellectual Property I own on the Reaction Washers and Tools[,]” and claiming sole inventorship of “[a]ll patent worthy aspects of the final version of the Reaction Washers and Tools.” Respondent disclosed that he had filed a patent application (the [REDACTED] provisional application) in which he claimed, “all exclusive rights in the current product version,” and stated that “[t]he owner of that Intellectual Property will have all exclusive rights in the current product version.” Respondent offered to sell RWC the rights to “all my IP relating to the Reaction Washer and Tools[.]”

Mr. Davis assigned his interest in the ’861 and ’876 applications to RWC on December 17, 2018. Several days later on December 28, 2018, Jared Goff, an attorney representing RWC, sent a letter to Respondent notifying him that Mr. Goff represented RWC and stating that Respondent’s actions implicated several USPTO Rules of Professional Conduct, including 37 C.F.R. §§ 11.107, 11.108, and 11.109. Mr. Goff requested that Respondent mitigate the violations by assigning his rights in the ’861, ’876, and ’746 PCT applications to RWC. In a separate letter dated the same day, Mr. Goff asked Respondent to sign and return declarations for three patent applications that Mr. Goff was prosecuting on behalf of RWC as continuations-in-part of the ’768 application.

Respondent refused to assign his rights in the ’861, ’876 and ’746 PCT applications to RWC, unless RWC paid him \$10,000 per application. He also declined to sign the declarations pertaining to the continuations-in-part of the ’768 application that Mr. Goff was prosecuting. Respondent also refused to sign a power of attorney to allow Mr. Goff to take over prosecution of the ’861 and ’876 applications. Because of his refusal to allow Mr. Goff to take over prosecution, he remained the practitioner of record on these patents.

On January 9, 2019, Respondent sent an email directly to Mike Morley despite having been notified in writing that RWC was now represented by Mr. Goff and despite acknowledging having received correspondence from “your Patent Attorney.” Respondent requested “a reimbursement for [his] efforts of \$10K per Application in return for which [he] will assign all [his] interests in the above Applications ICB1041US [a.k.a. the ’861 application], 1042US [a.k.a. the ’876 application] and 1043 PCT[.][a.k.a. the ’746 PCT application].” And, despite both Mr. Goff and Mr. Morley repeatedly asking Respondent to communicate with RWC’s attorney and not Mr. Morley, Respondent kept emailing Mr. Morley directly.

In March 2019 and May 2019, Respondent continued to email Mr. Morely directly. Over three emails during that time, Respondent notified Mr. Morley of certain tasks that needed to be performed in relation to the prosecution of the '861 application, the '876 application, and the '746, PCT application. In each of the emails, Respondent communicated that due to the pending ethics violations charges before the USPTO and the civil case between Respondent and RWC then pending in the Federal District Court in Utah, Respondent would take no further action with relation to those applications.

Thereafter, the '861, '876, and '746 PCT applications went abandoned. At the time, Respondent was still the patent agent of record in the '861 and '876 applications, as he had refused to allow Mr. Goff to take over prosecution of these applications. RWC ultimately sued IDEPA and Respondent in a civil case in the Federal District Court of Utah, under the case number 19-cv-00148. RWC's legal fees for those proceedings exceeded \$500,000.

DISCUSSION

The OED Director alleges Respondent engaged in misconduct that violates the USPTO disciplinary rules by representing clients despite having impermissible conflicts of interest. The OED Director further alleges that Respondent failed to notify his clients that conflicts of interest had arisen and failed to adequately communicate the issues so that his clients could make informed decisions. Finally, Respondent is alleged to have not acted competently, because he failed to recognize the conflicts of interest or that his clients' informed consent was required.

Respondent disputes that he violated the USPTO disciplinary rules. However, the majority of his arguments focus on his position as a joint inventor and his claims over the intellectual property. They ignore his relationship with his clients as a practitioner, which is the subject of this proceeding. To the extent Respondent's arguments are relevant to the issues at bar, they are discussed below.

I. Respondent violated USPTO Conflict of Interest Provisions.

At the heart of this matter is the OED Director's allegation that impermissible conflicts of interest arose during Respondent's representation of Mr. Davis and RWC.

The USPTO Rules of Professional Conduct set forth limitations on the representation of clients where such representation would involve a conflict of interest. First, a practitioner may not represent a client if the representation involves a concurrent conflict of interest. 37 C.F.R. § 11.107(a). A concurrent conflict of interest exists when there is a significant risk that the representation of the client will be materially limited by a personal interest of the practitioner. *Id.* at § 11.107(a)(2). The disciplinary rules also specifically preclude a practitioner from entering into a business transaction with a client or knowingly acquiring an ownership, possessory, security or other pecuniary interest adverse to a client. 37 C.F.R. § 11.108(a). Practitioners are also prohibited from using information relating to the representation of a client to the disadvantage of that client. *Id.* at § 11.108(b). These rules do not impose an absolute bar on representation in the presence of a conflict of interest. *In re Bender*, Proceeding No. D00-01,

at 31 (USPTO Sept. 30, 2003). Instead, the disciplinary rules carve out an exception if certain requirements are met including that the client give informed consent that is confirmed in writing. 37 C.F.R. § 11.107(b) and 11.108(a) and (b).⁵ Finally, a practitioner is prohibited from making an agreement prospectively limiting the practitioner's liability to a client for malpractice unless the client is independently represented in making the agreement. 37 C.F.R. § 11.108(h)(1).

On summary judgment, Respondent was found to have violated 37 C.F.R. § 11.107, because he continued to represent Mr. Davis despite conflicts of interest arising from being joint inventors on the '861 application, the '876 application, and the '746 PCT application. Respondent's continued practitioner-client relationship with Mr. Davis was impermissible, because Respondent failed to obtain Mr. Davis's informed consent, confirmed in writing, to the conflicts of interest.

This Tribunal also found on summary judgment that Respondent violated 37 C.F.R. § 11.108(a), when he impermissibly entered into a business transaction that created a concurrent conflict of interest. Specifically, by entering into the February 23, 2015 Agreement with Mr. Davis, Respondent violated the disciplinary rule because he failed to obtain Mr. Davis's written, informed consent to the conflict of interest arising from his ownership interest in the corporation that was adverse to Mr. Davis's interests. However, the Tribunal hesitated to make the same finding regarding the May 12, 2016 Agreement on summary judgment, because there was a dispute as to whether the agreement was valid.

During the hearing, the OED Director presented clear and convincing evidence that Respondent, Packer Morely, and Mr. Davis, through their respective companies, reached an agreement to form RWC with IDEPA being granted 15% interest in the company in exchange for providing patent legal services and use of IP. The terms of that agreement were memorialized in the May 12, 2016 Agreement. And, although Respondent later disputed that the May 12, 2016 Agreement was properly executed, Respondent, Mr. Davis, and Mr. Morley began performing pursuant to its terms. For example, Respondent filed the '861 application, the '876 application, and the '746 PCT application with the USPTO. Respondent invoiced RWC for the filing fees, which RWC paid. Moreover, in emails sent from Respondent to the members of RWC, he routinely referred to the May 12, 2016 Agreement as their partnership agreement. Respondent's actions, therefore, demonstrate that he considered the May 12, 2016 Agreement to have been a valid agreement.

The May 12, 2016 Agreement created a practitioner-client relationship between Respondent and RWC, because Respondent would be providing patent legal services to RWC.⁶ The terms of the May 12, 2016 Agreement also granted Respondent an ownership interest in RWC, which creates a conflict of interest under 37 C.F.R. § 11.108(a). See *In re Walpert*, Proceeding No. D2018-07, at 29 (USPTO Jan. 19, 2021). However, Respondent never advised the members of RWC, in writing or otherwise, to seek the advice of independent legal counsel in the transaction, as required by the disciplinary rules. See *id.* at § 11.108(a)(2). Therefore, the

⁵ § 11.108(b) does not require that informed consent from the client must be confirmed in writing.

⁶ In an email dated October 2, 2018, to Mike Morely, Packer Morely, and John Davis, Respondent stated, "As part of the original Partnership Agreement, I have committed to provide Patent Services for the Reaction Washer Company."

conflict of interest caused by the May 12, 2016 Agreement was impermissible, and Respondent violated 37 C.F.R. § 11.108(a) by entering into it with RWC.

The OED Director also claims Respondent violated the disciplinary rules by using information developed during his representation of Mr. Davis and RWC to file the [REDACTED] application after he left RWC. A practitioner is prohibited from using information relating to the representation of a client to the disadvantage of the client unless the client gives informed consent. 37 C.F.R. § 11.108(b)

The other members of RWC believed that RWC was investing in intellectual property that it would own, and from which all of its members would benefit. However, Respondent only listed himself and Mr. Davis as the joint inventors for the '861 application, the '876 application, and the '746 PCT application. Then, just twelve days after Respondent sold his ownership interest in RWC to Mr. Morley, Respondent filed the [REDACTED] provisional application on which he was listed as the sole inventor. Portions of the claims in the [REDACTED] application were developed during Respondent's practitioner-client relationship with RWC. By Respondent's admission in a communication with Mike Morely the [REDACTED] application encompassed "[a]ll patent worthy aspects of the final version of the Reaction Washers and Tools" and Respondent's intent was to "move forward and monetize as soon as possible all Intellectual Property I own on the Reaction Washers and Tools."

Even assuming Respondent individually developed key aspects of the reaction washer products, he did so in the course of his partnership within RWC and his representation of RWC. That information, therefore, relates to Respondent's representation of RWC as its patent agent. To later file the [REDACTED] application listing himself as the sole inventor could subject RWC to patent infringement claims on its products should the [REDACTED] application mature into an issued patent. Such actions, therefore, constitute misconduct under 37 C.F.R. § 11.108(b).⁷

Finally, the OED Director alleges Respondent violated the disciplinary rules by including language in the February 23, 2015 Agreement that limited Respondent's liability. 37 C.F.R. § 11.108(h)(1) precludes a practitioner from making an agreement prospectively limiting the practitioner's liability to a client for malpractice unless the client is independently represented in making the agreement.

Although Mr. Davis gave Respondent an outline of points to include in the February 23, 2015 Agreement, Respondent added specific language stating that Respondent, "will not ever be held accountable nor sued for damages by Davis... ." This language was intended to limit Respondent's liability to Mr. Davis for prospective claims and could reasonably extend to future malpractice allegations. During the discussion and negotiation of the February 23, 2015

⁷ The *Complaint* also alleges that Respondent violated 37 C.F.R. §§ 11.109(a) and (b) which applies to conduct towards former clients. The OED Director acknowledges that 37 C.F.R. § 11.108(b) is the more appropriate rule but claims in the alternative that violations of § 11.109 are supported by the same facts should the Tribunal conclude that Mr. Davis and RWC were both former clients when the relevant conduct occurred. Although, Respondent withdrew as a member of RWC, he refused to allow RWC's attorney to take over the prosecution of the patent applications at issue. Instead, he remained the practitioner of record even as the applications became abandoned. Having not withdrawn as the practitioner of record, RWC remained Respondent's client during the relevant times in this matter. Accordingly, the Tribunal deems violations of 37 C.F.R. §§ 11.109(a) and (b), which were only pursued in the alternative, to be withdrawn.

Agreement, Mr. Davis was not independently represented in making the agreement. And, although Respondent later stated that he believed Mr. Davis had an attorney, Respondent never asked or confirmed whether Mr. Davis had independent representation. Accordingly, the Tribunal finds that Respondent violated 37 C.F.R. § 11.108(h)(1) by making the February 23, 2015 Agreement to include the language limiting his liability to Mr. Davis.

II. Respondent failed to adequately communicate with his Mr. Davis and RWC.

The OED Director claims Respondent violated the disciplinary rules by never informing his clients that they were required to give informed consent to the numerous conflicts of interest that arose during their practitioner-client relationships.

A practitioner is required to “promptly inform the client of any decision or circumstance with respect to which the client’s informed consent is required by the USPTO Rules of Professional Conduct. 37 C.F.R. § 11.104(a)(1). Informed consent is defined as, “the agreement by a person to a proposed course of conduct after the practitioner has communicated adequate information and explanation about the material risks of and reasonably available alternatives to the proposed course of conduct.” 37 C.F.R. § 11.1 (definitions section). In many instances, Respondent’s obligations to his client required him to not only inform, but to also “explain a matter to the extent reasonably necessary to permit the client to make informed decisions regarding the representation.” 37 C.F.R. § 11.104(b).

Respondent did not inform Mr. Davis that conflicts of interest arose when Respondent named himself as co-inventor on the ’861 application, the ’876 application, and the ’746 PCT application. He also failed to inform his clients that entering into the February 23, 2016 Agreement and May 12, 2016 Agreement would result in impermissible conflicts of interest. Respondent’s filing of the [REDACTED] application was also a conflict of interest, because he used information relating to the representation of RWC to the RWC’s disadvantage. The USPTO Rules of Professional Conduct mandate that each of these conflicts requires informed consent from the clients. Respondent’s failure to inform his clients that such conflicts existed requiring their consent is a violation of 37 C.F.R. § 11.104(a)(1).

In addition, because Respondent never informed his clients of these conflicts, he also failed his duty to explain the matters to the extent reasonably necessary to permit his clients to make informed decisions regarding the representation in violation of 37 C.F.R. § 11.104(b). See In re Swayze, Proceeding No. D2019-44, at 17-18 (USPTO Aug. 24, 2023) (Practitioner’s failure to notify a client and discuss a USPTO action constitutes a violation of 37 C.F.R. § 11.104(b).); In re Welytok, Proceeding No. D2021-15 (USPTO Apr. 29, 2024) (same).

III. Respondent failed to represent his clients competently.

The OED Director claims Respondent failed to act competently, because he failed to recognize that conflicts of interest had arisen and he did not know of his obligation to obtain his clients’ informed consent to the conflicts. A practitioner is required to provide competent representation, which “requires the legal, scientific, and technical knowledge, skill, thoroughness and preparation reasonably necessary for the representation.” 37 C.F.R. § 11.101. A practitioner

is required to know the rules relating to the matter for which they are representing their clients, and by agreeing to represent these clients, it is the practitioner's duty to inform themselves of the applicable rules if they do not already know them. *In re Shia*, Proceeding No. D2014-31, at 33 (USPTO Mar. 4, 2016)

It is clear that Respondent did not realize his conduct resulted in numerous conflicts of interest. Indeed, the evidence demonstrates that Respondent failed to recognize any fiduciary obligations to Mr. Davis or RWC as their patent agent. Even in his post-hearing briefing, Respondent denied that Mr. Davis and RWC were his clients despite the overwhelming evidence that he agreed, in writing, to provide patent legal services to them and did in fact file their applications and counsel them throughout that process. Instead, Respondent mistakenly only considered Mr. Davis and RWC as partners, and later, as rivals for intellectual property rights born from their partnership.

Perhaps the only time Respondent raised the issue of a conflict of interest with the members of RWC was when he stated that he could no longer represent RWC if he was not permitted to continue as a partner. This argument is contrary to the USPTO disciplinary rules regarding conflicts of interest. Nevertheless, Respondent continued to pursue this position after the hearing stating in his post-hearing briefing that, "The only conflict of interest between Respondent and John Davis was established by John Davis unilaterally and without Respondent[']s knowledge nor consent by John Davis declaring to the Patent Office sole ownership of the Patent Application." Respondent's consistent inability to recognize the blatant conflicts of interest existing in this matter demonstrates a lack of legal knowledge reasonably necessary to represent his clients. *See Attorney Grievance Comm'n v. Framm*, 144 A.3d 827 (Md. 2016) (stating that the failure to recognize an inherent conflict of interest falls below the minimum standard of competence). Accordingly, the Tribunal finds Respondent violated 37 C.F.R. § 11.101.

SANCTIONS

The OED Director asks the Tribunal to sanction Respondent by imposing an eighteen-month suspension from practice before the Office.

In determining sanctions, USPTO regulations require the Tribunal to consider the following four factors: (1) whether the practitioner has violated a duty owed to a client, the public, the legal system, or the profession; (2) whether the practitioner acted intentionally, knowingly, or negligently; (3) the amount of the actual or potential injury caused by the misconduct; and (4) the existence of any aggravating or mitigating factors. 37 C.F.R. § 11.54(b). The Tribunal often looks to the American Bar Association's Standards for Imposing Lawyer Sanctions ("ABA Standards") for guidance when determining the proper length and severity of a sanction, and when determining whether aggravating or mitigating factors exist. *See In re Chae*, Proceeding No. D2013-01, at 4 (USPTO Oct. 21, 2013).

1. Respondent violated duties owed to his clients and the legal system.

“First and foremost, the practitioner-client relationship is a fiduciary relationship.” *In re Kroll*, Proceeding No. D2016-23 at 11 (USPTO Apr. 10, 2017), *aff’d* (USPTO Dec. 11, 2017). Respondent violated duties he owed to his clients by failing to obtain their informed consent to the conflicts of interest that arose during his representation. *See* 37 C.F.R. §§ 11.107(a)(2), 11.108(a), (b), and (h)(1). Respondent failed to provide competent representation to his clients as required by 37 C.F.R. § 11.101, because he failed to recognize the existence of numerous conflicts of interest and his obligation to obtain his clients’ informed consent. Respondent also violated his duties under 37 C.F.R. § 11.104(a)(1) and (b), because he failed to promptly inform his clients of the conflicts of interest and failed to explain the issues to the extent reasonably necessary to permit the clients to make informed decisions.

2. Respondent engaged in intentional and negligent misconduct.

The majority of Respondent’s misconduct was due to negligence and a reckless disregard for his obligation to understand his duties as set forth by the USPTO’s disciplinary rules. As found above, Respondent did not act competently, because he lacked the legal knowledge to recognize the existence of numerous conflicts of interest or his obligation to adequately inform his clients and obtain their informed consent. In post-hearing briefing, Respondent also admitted he was not aware that the USPTO disciplinary rules were revised in 2013.⁸ The fact that Respondent was unaware of current USPTO disciplinary rules several years after their implementation highlights the reckless nature of Respondent’s misconduct.

Some of Respondent’s conduct, however, was intentional. *See* ABA Standards, pg. xix. (“The most culpable mental state is that of intent, when the lawyer acts with conscious objective or purpose to accomplish a particular result.”). Specifically, Respondent filed the [REDACTED] application shortly after relinquishing his shares in RWC. His own correspondence to the remaining members proves his intent was to monetize the product for his own benefit and to the detriment of RWC, against which he alluded could face legal action. Such intentional conduct warrants a substantial sanction.

3. Respondent’s misconduct caused significant injury to RWC.

After leaving the RWC partnership, Respondent filed the [REDACTED] application and threatened patent infringement actions against RWC. Respondent continued to claim that he held all the intellectual property related to his work for RWC, and essentially held the client hostage by refusing to sign powers of attorney to allow RWC’s new attorney to take over prosecution of certain applications. This resulted in those applications becoming abandoned. Respondent’s dispute with RWC resulted in a lawsuit for which RWC incurred over \$500,000 in legal fees. The significant injury to RWC warrants a severe sanction.

⁸ The regulations governing the conduct of USPTO practitioners are known as the Rules of Professional Conduct and are codified at 37 C.F.R. §§ 11.101 to 11.901. These rules came into effect on May 3, 2013, and are intended to conform to the American Bar Association’s Model Rules of Professional Conduct. *See* Changes to Representation of Others Before USPTO, 78 Fed. Reg. 20180 (Apr. 3, 2013) (final rule). Prior to May 3, 2013, the USPTO Code of Professional Responsibility governed the conduct of persons practicing before the Office. *See* 37 C.F.R. §§ 10.20 to 10.112 (2012).

4. Aggravating and mitigating factors exist in this case.

The Tribunal often looks to the ABA Standards when determining whether aggravating or mitigating factors exist. A review of the record and the parties' arguments reveals that several aggravating factors and one mitigating factor exist in this case.

First, Respondent acted with a dishonest and selfish motive. See ABA Standards § 9.22(b). Respondent had a dishonest and selfish motive when he filed to [REDACTED] application naming himself as the sole inventor in an attempt to claim exclusive rights to technology he developed with, and on behalf of, RWC. He did so in an attempt to monetize said technology and threatened legal action against RWC. And, although the members of RWC believed that RWC would own the rights to the '861, '876, and '746 applications, Respondent named only himself and Mr. Davis as joint inventors and demanded RWC pay \$10,000 per application.

Respondent also engaged in a pattern of misconduct. See ABA Standards § 9.22(c). Respondent named himself and Mr. Davis as joint inventors on multiple applications without obtaining Mr. Davis's informed consent to the conflict of interest. Respondent also entered into separate business transactions with clients without obtaining their informed consent to those conflicts of interest.

Respondent's refusal to acknowledge the wrongful nature of his conduct is also an aggravating factor. See ABA Standards § 9.22(g). Throughout the hearing and even thereafter, Respondent has continued to promote arguments supporting his rights as joint inventor and rightful owner if the intellectual property at issue failing to understand that the misconduct relates to his obligations to his clients as their patent agent. This failure to recognize the distinction and accept that he owed specific duties to Mr. Davis and RWC is perhaps even more concerning than a refusal to admit wrongdoing.

Finally, Respondent's substantial experience serves as both an aggravating factor and a mitigating factor. Respondent has been a registered patent agent since 2001 and, therefore, has substantial experience in practice before the Office. In other words, Respondent should know better. See ABA Standards § 9.22(i). On the other hand, Respondent has been practicing before the Office this entire time without a previous disciplinary action. See ABA Standards § 9.32(a).

5. Conclusion

Upon consideration of the entire record, the arguments of the parties, and the factors set forth in 37 C.F.R. § 11.54(b), to include aggravating and mitigating factors, the Tribunal concludes that Respondent violated his duty to his clients. While some aspects of his misconduct were merely negligent and reckless, much of his misconduct was intentional. Respondent's motives were selfish and ultimately resulted in actual injury to his clients. Although Respondent has no history of discipline despite significant years of experience practicing before the Office, the Tribunal is especially concerned that Respondent fails to recognize the wrongful nature of his conduct. For these reasons, a serious sanction is warranted. Accordingly, the Tribunal concludes that an eighteen-month suspension is warranted.

ORDER

For the reasons set forth above, Respondent shall be **SUSPENDED** from practice before the U.S. Patent and Trademark Office in patent, trademark, and other non-patent matters for a period of eighteen (18) months.⁹

So **ORDERED**,

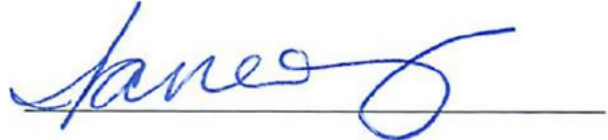


J. Jeremiah Mahoney
United States Administrative Law Judge

⁹ Respondent is directed to 37 C.F.R. § 11.58, which sets forth Respondent's duties while suspended. Respondent shall remain suspended from the practice of patent, trademark, and non-patent law before the USPTO until the OED Director grants a petition reinstating Respondent pursuant to 37 C.F.R. § 11.60(c).

CERTIFICATE OF SERVICE

I hereby certify that copies of the foregoing **INITIAL DECISION AND ORDER** issued by J. Jeremiah Mahoney, Administrative Law Judge, in D2020-16, were sent to the following parties on this 26th day of June 2025, in the manner indicated:

A handwritten signature in blue ink, appearing to read 'Cinthia Matos', is written over a horizontal line.

For Cinthia Matos, Docket Clerk
HUD Office of Hearings and Appeals

VIA EMAIL:

Johannes P. Schneeberger
IDEPA, Inc.
PO Box 358
Brisbane, CA 94005
[REDACTED]

Pro-Se

John Ferman, Esq.
Associate Solicitors
Mail Stop 8
Office of the Solicitor
P.O. Box 1450
Alexandria, Virginia 22313-1450
[REDACTED]

Government's Counsel